The Social Radars

S4: Gusto Co-Founders: Josh Reeves, Edward Kim & Tomer London
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Jessica: I'm Jessica Livingston, and Carolynn Levy and I are The Social Radars. In this podcast, we talked to some of the most successful founders at Silicon Valley about how they did it. Carolynn and I have been working together to help thousands of startups at Y Combinator for almost 20 years. Come be a fly on the wall as we talk to founders and learn their true stories.

Carolynn, I am so excited because today we have Gusto on the show. Gusto is a very successful YC startup who we funded in 2012, and they do payroll and HR and benefits software for small companies. But the exciting part today is we have all three founders.

Carolynn: I know it's wild.

Jessica: Josh Reeves, Tomer London, and Eddie Kim. Welcome you guys.

Edward: Hey.

Carolynn: Welcome.

Josh: Excited to be here.

Tomer: Hello, hello.

Jessica: This is going to be an experiment with three guests. We've never had this many, so it's very exciting, and we've never had all three co-founders for a company. So before we even get started talking about Gusto, I want to go way back to when we first met Eddie. He was part of our 2008 summer batch doing a different startup called Pickwing. Right, Eddie?

Edward: That's right. That was my first startup, summer of 2008. Geez, I was probably 23 years old at that time.

Jessica: Had you just graduated from Stanford?

Edward: I was two years out of Stanford. So I graduated from Stanford, took a job at the Volkswagen Electronics Research Lab. I read all of Paul Graham's essays, was obsessed about getting into YC and I had applied over and over again to actually get in. The first time I didn't get in, second time I didn't get in. Third time, PG writes back and says, "We'll let you in if you can find another co-founder." So then I went to one of my co-workers who I worked with who was really smart, his name was Enrique, if you remember Enrique.

Jessica: Of course.

Edward: I was like, "Hey, let's do Y Combinator together." I convinced him to do it and we got in and we quit our jobs the day that we got in.

Jessica: I did not know that part of the story. I had no idea you applied to YC so many times and that you were a big Paul Graham fan.

Edward: Yeah, my dad actually gave me a printout of his essay, "How to start a Startup," and that's kind of what honestly got me hooked and started on my entrepreneurship journey.

Carolynn: How did your dad find the essay, do you think?

Edward: I have no idea. He probably didn't even know who Paul Graham was. Then it wasn't until later I got into YC that I started talking about PG more and then he kind of recognized the name. But I think it was just a random essay he found somewhere and he didn't really know who wrote it or where it came from or anything. He just gave it to me and I thought it was a good essay.

Jessica: Well, I'm glad he did. Just a quick note about Pickwing, the idea at the time, believe it or not, 2008, you could take pictures and then you sent them to an email address and it would automatically print out the photos and send them to whoever you wanted. Right, Eddie?

Edward: Yeah, exactly.

Jessica: My oldest son had just been born, so we set it up so we could take all these baby photos and have them sent to all the grandparents and us.

Edward: That's right.

Jessica: Frankly, that is the only hard copy evidence I have of my children are the Pickwing photos. We loved it-

Carolynn: That's a great startup.

Edward: You both were our best customers, by far.

Jessica: So you saw a lot of photos of our son, didn't you?

Edward: Yes, definitely. I saw a lot come through.

Jessica: So it was so nice to be able to say, "Here relatives, here are all the photos." Then what happened to Pickwing?

Edward: It was in a space that was shrinking, not growing, so there were less and less people that were printing photos and more people sharing them digitally online. The unit economics weren't great, so we stuck with it as long as we could. We were sort of “ramen profitable”, but ultimately we decided that this wasn't going to be a sustainable fast-growing business for us. So we pivoted a little bit into building hardware, which was even harder. We actually decided instead of mailing the photos, we would just show them on a digital photo screen. At the time, I don't know if you remember, but these digital photo frames were all the rage.

Carolynn: I remember that-

Jessica: I remember this.

Edward: Yeah, you go to Best Buy and basically that's all you see, digital photo frames. But all of them at the time, they just took your SD cards that you would load up photos in them and they just cycled through those photos. So we actually got into hardware, we made our own photo frame that used Wi-Fi instead of an SD card, and instead of printing and mailing the photos physically, we would actually just send them over the internet and push them to the digital photo screen. So that was kind of our next iteration of the company, we got into hardware a little bit. But that was really hard. I drilled a hole in my arm one day as we were assembling these things and went to the emergency room. Then the doctor was like, "Yeah, you're not really good for hardware. You should get out of hardware." That was one of the best startup pieces of advice I got from an emergency room doctor actually.

Jessica: So then what happened? How did things progress from there and you met up with Tomer and Josh. How did you guys know each other?

Edward: So Josh and I went to school together actually. We were at Stanford, class of 2005. We were the same year, same major. We were studying electrical engineering at Stanford. The EE class is not that large. I think it's like 80 or 90 people per year at that time. So everyone kind of knew each other and we had labs together and things like that. That's kind of how we first got to know each other. We kind of went our separate ways. Josh did his first startup while I was doing mine through YC. So we took these sort of parallel tracks but didn't really intersect with each other that much until one day we actually both ran the San Francisco half marathon ... Do you want to tell the story Josh-

Josh: Let me set it up more dramatically. So I was a runner at the time, Eddie was not a runner. So I was actually joining my mom to do the half marathon in San Francisco, my mom's a runner. Literally at the beginning of the race we start running and I bump into Eddie. I run into him literally.

Edward: Before the race starts, like early in the morning.

Josh: Yeah, it's just getting going.

Jessica: Oh my gosh.

Josh: But we reconnected, and then we're like, "We should hang out." Then we grabbed brunch together. But little did I know he was running that half marathon on a dare, had not run in years. It was someone who, was it the day before that had challenged you?

Edward: No, it was like a couple months. But I had wound down Pickwing and was kind of doing my own thing. I was contracting with a bunch of companies like Bump. I was writing my own Android apps and selling them. So I had a lot of free time and my friends were like, "You can't run this marathon." I was like, "I could do that. That's no problem." I was very cocky and I couldn't walk three days after that half marathon, basically limped the last three miles.

But the great thing that came out of it obviously was running into Josh again. It was one of those moments where you see your college friend from three, four years ago, you kept in touch over Facebook but didn't really stay in touch in person. So we were like, "Hey, let's catch up and see what's going on in each other's lives." So we got coffee at the Creamery on Fourth and King, which is sort of this storied coffee house that no longer exists in Soma. That's where we got coffee and just caught up on life and that's kind of how we reconnected.

Josh: Well, I think I remember really distinctly from that and then we'll connect to Tomer, to answer your question, Jess. But to shortcut it, I had had a prior startup, Eddie mentioned, but in the same vein, something that wasn't growing dramatically. I had sold it. We connected around having now had some work experience, he had been at Volkswagen, his startup. I had been at an e-commerce company called Zazzle, and then my startup. Then the joy of that, the challenge of that, but the desire to tackle something bigger, much more impactful that we could spend decades doing rather than just one or two or three years. I remember that was a distinct thing besides just hanging out and catching up. But it was this we're at a point now, mid to late 20s, how cool would it be to go tackle something much bigger broader than what we've done thus far? Tomer actually had done a startup in Israel, maybe I'll pass to Tomer. Very analogous, but different company, third company. Then we connected through the Stanford alumni community.

Jessica: Okay, so Tomer, you were a Stanford alumni too, but not at this exact same time.

Tomer: Yeah, around that time I was in Israel and I was working on my startup back then, which was actually focused on improving customer support. So the idea was, I just hated waiting in line when you call in and you got to go through this IVR tree and it's so annoying and, "Oh man, I just want to get to a person." "Oh man, I just want to fix my problem." I was like, now we have more ... Back then there wasn't the iPhone or the Android iPhone yet, but there were feature phones that had internet connectivity. So I was thinking together with my co-founder, "Hey, wouldn't it be cool if when you call the call center automatically, like a menu falls on your screen where you can self visually navigate the IVR and even self-serve and fix your own problem? So we were doing this entire thing in Israel.

Definitely did not go to the scale and success of Gusto or any other startup we talked about here. But I guess for me, learning from that journey, it ended up being extremely difficult to go and sell to these huge enterprises. So the sales cycle was so, so long and we were just kind of two electrical engineering students in Israel trying to figure it out. So we weren't very sophisticated in selling. That was really, really hard. Then I ended up having that opportunity to go to Stanford for a PhD in electrical engineering. I heard of Stanford, funny enough, for the first time watching Steve Jobs commencement speech in 2008, which is exactly the commencement speech that Josh and Eddie had when they were graduating. If you remember that commencement speech, it's incredibly inspiring. I watched this probably 20 times and I was like, "Huh, that's in Stanford. Where is that Stanford place?"

I actually thought he was in England because of Stanford, it sounds like this kind of British name ended up learning, it's not. It's right here in California. So I came in to do the PhD at Stanford Electrical engineering. Honestly I didn't know anybody and I was just out there looking for friends and I was lucky enough to meet Josh through, Stanford had this program called the Stanford Alumni Mentorship Program, which connects existing students and earlier students. So Josh and I got connected. We kind of learned, both of us have this startup experience and we're really passionate about starting things, building products. Ended up actually living together in Palo Alto together with a few other friends. Eddie later on joined and actually was sleeping in our walk-in closet for a few months during YC.

Josh: We have to talk about that too. That should definitely come on.

Jessica: Sorry. That is so funny.

Josh: There were five people living in this six-bedroom house. My rent was like $850/month. This is like what you do in your 20s if you're in the suburbs is you pack people into a house. Plus it makes it more cost-effective. But there was no spare bedroom really. We'll probably come back to this, but we had gotten into YC, we were going to be near each other, face to face, we wanted to live and breathe every moment together. So the walk-in closet fit a queen air mattress. It had a skylight.

Jessica: Sounds like a fab closet.

Josh: It had a skylight.

Edward: It was actually a nice walk-in closet.

Jessica: I was going to say it sounds huge.

Edward: Makes a terrible bedroom though.

Jessica: No windows.

Josh: Our other roommate still used it as her closet. So all of her clothes and shoes were in there as well as Eddie sleeping.

Jessica: So Eddie's queen sized air mattress-

Josh: Air mattress.

Jessica: And just a skylight and all of her clothes and shoes?

Edward: Yeah.

Jessica: Oh wow. That's amazing.

Edward: For four months.

Jessica: Wow. She didn't get so annoyed having to step over you sometimes?

Josh: No, because I paid rent. I paid like $350 a month for the closet.

Edward: The roommates made him pay rent for the closet.

Jessica: Okay. I know you applied to YC with a totally different idea. It was like experts on demand. Of course we knew Eddie from before, so we certainly were interviewing you guys and I remember a really strong team, but we were definitely a little bit skeptical about the idea. So tell us what happened next.

Josh: I mean, I think the exact reply I remember, and we were talking about this recently, was, "We like you as founders, but your idea isn't good." So I think you guys were much blunter back then or maybe hopefully that has continued. But it was a challenge, "Hey, what are you trying to go do? What are you trying to actually go fix?" The connection, Jess, is we actually applied, as you know, there's about a month-ish I think between getting in and YC starting.

Jessica: Yes.

Josh: So once we got in, we were actually prototyping and really proud of what we did really quickly. We wanted to help. We had all these ideas around our parents who had advice. My mom was a teacher, I had lots of friends trying to get advice from her about teaching. Eddie's dad is a doctor, there's people that would always try to get advice from him about medical stuff. And we had many examples like this, Tomer's dad is a small business owner. So we had this thought then, the problem statement was you have all this knowledge that is not digitized, that's sitting in people's heads, and there's all these professional networks out there like GLG for tapping into sophisticated stuff that hedge fund folks want to go pay for. But our families had knowledge that friends were tapping into, that we felt was being under leveraged.

So that was the genesis behind the initial concept problem space. But we actually then just prototyped it and within a week or so had put up landing pages, bought some Google ads, used Twilio to set up a way to have you click a button and set up a phone call that would just go to one of our cell phones. We wanted to see really quickly what type of signal will we get? Pretty quickly we found that the signal was not on the topics and areas that we were excited about. It was like people looking for astrology advice. So I would say that combined with the feedback that we had gotten from YC led us pretty quickly to go, "Hey, let's go think about other areas and directions." There's this really cool bridge where we really quickly looked at, Hey, the direction of this is still about marketplaces.

You had the rise then of companies like TaskRabbit and Uber, etc. So this idea of you have lots of stakeholders, how are they going to get paid? The money inflow piece was being solved by Stripe, but the payout piece, where is the money going to go and how does it get to the people that need it? Then that immediately starts bringing up taxes as a question because this is actually income.

So then we spent a little bit of time on this payouts concept, and then it was a combination of stuff that led us to go, "Hey, well, why not just payroll?" Payroll is something that we had felt, when I'd run my last company I'd set up on paychecks, I found it to be really frustrating. We had met small businesses, we went and talked to small businesses that were near us. So then it became a, let's not just focus on a more Silicon Valley century problem, maybe this is something that applies to lots of mainstream folks. Then once we got on that track, we got really excited. So during YC, all we were doing was building out a payroll system.

Jessica: Was that in the first month you did all this?

Carolynn: What did you have at demo day? How much time did you have to build this?

Josh: We got to payroll by the beginning of YC. All the stuff I just said was December-

Jessica: Oh it was in that month!

Josh: Between getting in and YC starting.

Jessica: Oh, good work.

Josh: So then once we're in the batch and now building with folks, seeing everyone on Tuesdays, we were then building payroll. Maybe you remember, but I think it was Kevin Hale from WooFoo, like about halfway into the batch he was asked as one of the speakers, "If you weren't doing your startup, what else would you be tackling?" He went, "I would do payroll. Payroll is so broken, someone has to do payroll." The three of us just stood up in the back of the room and cheered because we were-

Jessica: What a great story-

Josh: At that point, already building out ZenPayroll.

Jessica: Yes, because you were called ZenPayroll then.

Josh: That was our original name.

Jessica: That's right. Okay. So that's great that you took advantage of that month before YC started to sort of hone in on this new idea that you were really excited about. A lot of people don't realize how complicated and fragmented payroll is. What were your original challenges? You guys were sort of familiar with this because didn't your parents have small businesses, or some of them?

Edward: So I grew up in a small business. So my dad was a doctor and started his own private practice. So my mom was the receptionist and the payroll person, she was the insurance biller, she did the bookkeeping. She did all the stuff to keep the office running basically, while my dad, his job was obviously just to see the patients. My mom would leave work at 2:30 and pick me and my sisters up from school and then shuttle us back to the back office where we'd just do our homework and watch TV until they were done with working, and we'd just go home at 7PM after they closed up the office. So that was my life until I could drive literally, then finally had my own freedom. But I grew up surrounded with all the things that have to be done in the back office, right?

I just remember my mom always, one of the things she always did was payroll, which meant that she would calculate the taxes by hand, hand write checks from her checkbook and hand it to the one or two employees that they always had, to make sure that she's withholding the right amount. Then write a check to the IRS every month, mail it to the IRS. Everything was done through pen and paper, there was no software. You use these tax booklets that the government would mail you, that you would line up the withholding allowance of your employee and then their gross pay, and then it would take you down this table ... "This is what they get at the end, and this is how much you should withhold."

Jessica: Getting glassy eyed right now, no offense. At least when I was doing YC, when I was in charge of all that stuff, I think I just outsourced to ADP or something. Awful I know-

Josh: That's the thing with small business, this is what we realized. We lived that mantra, like “write code, talk to customers”. So it was Eddie's parents, my mother-in ran payroll, it was accountants from companies we knew or friends of companies we knew, payroll admins. We realized pretty fast, you do have some big incumbents in the broader space, but small business especially, you have 40% of companies in the US doing payroll by hand, like the way Eddie was describing. So we got excited that there was a different way to do it, and then we had to go build it. That became what we had to prove through YC.

So during YC, we had one goal, which was we have to be able to pay ourselves. We also decided we weren't going to pay ourselves until we could use our own system to pay ourselves. So that was an added incentive. But about two weeks, three weeks before demo day was when we ran our first payroll for us and some of the batchmates companies, did the tax boundings, did the tax payments, did the direct deposit, and then had that proof of concept in terms of like, "Hey, this is actually something that could be done in a way more digital, way more efficient way."

Jessica: Did it go smoothly? Did it work? I forget.

Josh: Yeah.

Edward: Yeah.

Jessica: Who were the other startups in the batch that were the first to use ZenPayroll?

Tomer: So one company that comes to mind that was a batchmate, their name was Karsabi, if you remember. They were a marketplace for basically buying used cards, buying and selling used cards.

Jessica: Yeah.

Carolynn: I remember this startup.

Tomer: Facebook. But a really cool team. I remember they were onboarding to Gusto and what we did back then is for most of these early customers, we just in person, we came to their office. This is a specific story. So I came to their office, I saw them kind of onboarding as a company and then also adding their employees. The goal is to just watch and see what's happening and see if there is anything that you can learn from? Is there anything that's confusing, anything that's kind of hard to get right that we didn't get right in our product? What I noticed is the admin, the CEO was sitting and was inviting every employee to come sit next to him and then ask them their information and then type it in because it was all in a single system.

Then I noticed how awkward that interaction was because the CEO didn't want the employees to kind of see the other employee's information. The employee didn't feel comfortable not having all the answers in their head immediately about their whatever, how much direct deposit they want and where to and all of that stuff. So from that kind of session out of that, we came up with this idea of just self-service. So employees, instead of the CEO and the employee needing to sit next to each other in front of the same screen, the CEO can come in, put the person's name, put their email, and then that email gets sent to the employee and they can just do it on their own time. No awkwardness. So we've done a lot of these early iterations on the product by just watching customers live really.

Jessica: That's really interesting. It's surprising how awkward it is because actually Y Combinator, as you guys know, uses Gusto and it's so easy. The software just makes it so simple.

Josh: Well, our unveil to the world was about a year plus after YC demo day, so that's maybe something interesting to unpack. But given what we were doing, we knew it had to be always compliant, always accurate, always done in a very, very responsible way.

Jessica: Well, I would like to hear about that actually, because one of the things I was thinking about with payroll, you can't do this move fast and break stuff, like it has to work. So tell us about how you made sure you didn't break stuff.

Carolynn: Well, first actually, did you raise a lot on demo day? Were people compelled, or did they think it was a great idea?

Josh: Yeah, we raised a $6 million seed round in 2012, which at the time was-

Carolynn: That's a lot-

Jessica: With some stars, right? Some heavy hitters-

Josh: 20 CEOs, founders. We had founders of Dropbox and PayPal and Instagram, a whole host of folks. Frankly, we would've given money to give us advice, instead they were giving us money. But I think a lot of them felt the pain point. It was also a time when a lot of the batch was doing social, mobile, local. So having a real pain point that was very mainstream, that had a really clear business model, we had to go prove a lot. But I also think that helped us stand out in terms of folks seeing just the size of the opportunity. Because payroll was a big part of where we were starting, but we would always say payroll is the least optional part of the stack. If you don't pay someone, they're going to quit. So a lot of these founder CEOs had been the ones navigating these systems when they were building their companies, albeit much smaller. I think that was part of why they got excited to support us.

Edward: Yeah, I think at the time that was, I think that might've been the biggest seed round that was raised by a YC company. Now these days you hear a lot more. But this is early 2012, and so it's a very different time.

Jessica: Wait, remind me, how much did you raise at what valuation again?

Josh: It was $6 million at about, I want to say a 32 million post.

Jessica: Wow. For that year, for that time that's big.

Josh: But to your question, we never had a beta. People need to get paid on time or otherwise they can't make rent. These are really, really critical flows. So I mean, I'll oversimplify, but maybe Tomer or Eddie can jump in. There were multiple phases here. There was us paying ourselves, we talked about that. Then there was us paying several companies in the batch. These were very simple companies. These were new companies. The founders were the only employees. They hadn't hired people yet, so we could just be high touch. They could just call Tomer's cell phone if they really needed to.

But because we were going to go serve mainstream small business, we knew that one big puzzle for us to prove was that you could set up without talking to us. It could be that easy, that simple. You could also use the product because if you're enterprise, you can have a high-touch salesperson and they can come visit you, but if you're serving a five person company, you really have to prove that from a unit economic lens, this can be done with self-serve as a key component, otherwise you don't have a good business model. So it was actually iterating and then we launched in December of 2013.

Jessica: Oh wow.

Josh: Right? December, 2012, sorry, December, 2012.

Jessica: Oh okay, I was going to say that's a long time-

Josh: Yeah, we were winter.

Jessica: Actually I have a note from an office hours or something that you did with Paul on December 23rd, 2012. His note was simple, "Just launched publicly. Users seem to like it."

Josh: Well, we went from a public launch to having 100 companies we had never met in our lives, signing up and using the product in one month. That was when we started to feel like, Hey, we're onto something interesting.

Carolynn: Did Eddie's mom and dad use it?

Edward: They did, yeah.

Josh: They did too.

Carolynn: Nice, nice.

Edward: Yeah. I mean, my mom, not just because she was my mom, but she genuinely loved it because it saved her so much time. I remember, and it was a use case that I had not even thought about, but we were going on a family vacation. When you're doing things manually through pen and paper and you go on a vacation, you actually have to write the checks in advance, you post-date it, you kind of guess what they're going to work. Then you kind of say, "Just deposit this next Friday." Then if there's any delta, we'll make up the difference later on. That's how it used to work. I just remember once my mom had switched over to ZenPayroll at the time, we were going on vacation and we were taxiing on a plane and my mom was like, "Oh my God, I forgot to run payroll."

So she takes out her phone and we didn't have a mobile app or anything. She just goes on the mobile web and she logs in and then she runs payroll from her iPhone. Then before we took off, it was all run and the employee would get paid on time. I remember my mom being blown away by that, but I was blown away by that too because I didn't even think about that use case of someone going on vacation, they don't have the post-date checks anymore. They just run it on the plane. That was like, "Wow, that's pretty cool." Sometimes you even surprise yourself at how useful the thing is.

Jessica: Oh, that's so wonderful.

Carolynn: That's a great story.

Josh: There's some other good early Sheena stories. She would call into customer support and not tell the person she's talking to that she was Eddie's mom, do the whole conversation and then after send us an email with her feedback.

Jessica: Very clever.

Carolynn: How soon before your employees caught on that Eddie's mom calls anonymously?

Edward: She would always tell them afterwards because it would always be a good experience. Then I would get a Slack ping from that person. Like, "Hey, I just talked to your mom."

Jessica: Nothing like your mom being one of your early users. So it sounds like it went smoothly though. Was it smooth?

Tomer: So here's one of the things that I think that we did that enabled it to be smooth, which is we started with a very, very, very tiny narrow market segment of who this product actually is for. Then we very slowly expanded it. Because when we were starting, ADP already existed, Paychecks already existed. We didn't invent payroll. So our invention, our innovation, the thing that's new in the market is the user experience. It's all the stuff that we just talked about, really easy to use, you can use it from your phone, anyone can do it, you don't need to be a payroll and all that stuff. So for that to work, you got to start very, very, very small. So we started with just companies in California who are just salaried, no hourly employees. You could not have any benefits. It has to be the first payroll you've ever run, and it took seven or even eight days in the first time to run your payroll, the time from you click to ... So we started very, very, very small.

Then we want to make sure that that customer loves the product. When we talk with them and because, yeah, we gave everybody our cell phones of course. When we talk with them, when we see them use the product, they love the product, they recommend it to others. NPS is really, really high. Only when we got there we're like, "Okay, great, now we can expand into the next thing."

So now add hourly employees, now add contract stores now, add additional states. So that's kind of how we kind of slowly grew. The cool thing Josh was talking about the first 100 customers coming in so quickly. The cool thing is that every single employer in the US needs payroll. So even if you started really, really small, tiny, you still had 100 people sign up. So it was kind of an interesting thing because back in the day, a lot of the startup wisdom was to start with a very small market, a niche that's growing really quickly and just ride that wave as it grows. When we started payroll was not a small niche market, it was six million employers. So that's kind of the interesting journey that we went through.

Jessica: Quick question, just so I remember because I probably have blocked out my early experience with ADP running payroll for Y Combinator, but it wasn't self sign up. What was broken about the incumbents? Because I remember there was like Paychecks, ADP and maybe Intuit or something?

Carolynn: Trident.

Jessica: What was broken? Just the self-service and the great customer service and the ease of use?

Josh: Yeah, I mean that's a good summary, but you have to look at why it was that way too. So some of it comes down to the technologies that we could leverage that just weren't available 10 years prior. So I kind of point to paperless, cloud, and mobile we didn't invent, but we had the chance to bring those technologies to bear in this space for this customer. So a lot of times for those incumbents in the 2000s, they didn't even care about small business in a lot of cases because you're not going to go have a small business install some software on their computer at home, you're going to focus on mid-market or enterprise and you're going to have a high touch sales team. So you had to have the right technology enablers in place to even deliver a viable product to this segment.

Then on top of that, you had to have a way to get them. So Gusto grew through word of mouth and inbound, which meant search and social. We didn't invent search and social, but again 20 years prior, those also didn't exist. So there was this combination of the right way to get customers the right product to go serve them. Then the outcome is what you're describing, something that's just dramatically easier, simpler. We've always had a belief it's not just about ease of use. If we go automate all the complex hard stuff behind the scenes, what you're left with is actually really exciting moments to be a part of.

Making an offer to someone and setting up a great first day for them, or they have a kid now that's a dependent joining your company. That was a big mindset shift. A lot of times these systems just view it as transactions, you would get assigned an ID number and it was just about processing. ADP stands for Automated Data Processing. So I would say those two insights: make it way easier, way simpler, but also make it more human, make it more about the person and the people involved, were core to the early days of Gusto.

Jessica: "You just got paid with celebrations!"

Josh: Yeah, exactly. You remember those emails?

Jessica: Yes, of course I do.

Carolynn: I still get them.

Josh: Yeah.

Edward: People were just blown away by that. It seems really small and it seems very common now because everyone is doing that. But at the time, we were the first ones to kind of send an email to an employee celebrating that they got paid today. It was just like these moments of delight. Actually when we started our tagline was like, "Delightful payroll," basically. So we wanted to infuse the product with these moments of delight. It seems small, but they do really matter, especially for small businesses where they're just used to having such terrible associations when it comes to payroll. Like you, Jessica. So I think that was a big differentiator.

Carolynn: Well, I'm going to guess that the other problem with the incumbents is they're probably pretty expensive, especially if you're running a small business. Just on economies of scale, it doesn't make sense really.

Edward: Yeah, especially back then, I think it was ... If you were just a one or two person business, you were paying $100-$200 a month just for payroll. Again, it goes back to what Josh said is there wasn't a lot of technology, it just wasn't possible to offer payroll cheaper than that by the incumbents because they were using such legacy systems and had so much back office operations on their side. I think payroll has been one of the industries in the past 10 years that's gone through a lot of disinflation, or deflation actually, where it's gotten cheaper to do payroll now for a small business than it was 10 years ago.

Josh: I think there's analogous technologies too, just to highlight. We all know that you could buy stuff at a store with a credit card back in the '90s and 2000s, but there were these incumbents that did point of sale that worked. But once you used Square for the first time, you were like, "This is magical," right? It can be so much better, easier, and delightful. So I think we were part of a category of software that was focused on small business. Whereas historically, really great software companies would only have focused on large companies.

Jessica: Quick question, remind me when you rebranded as Gusto.

Josh: 2015.

Jessica: Is that because you were expanding beyond payroll?

Josh: Yeah, there was two reasons. One, first off, I actually like this story because it's a good reminder to early stage startups and when you have so many things to do, focus on what matters. Demo day was coming up, we were maybe a week or two away from it. We didn't have a name yet. So I think I spent maybe five minutes on GoDaddy, found ZenPayroll.com for $7, bought it and went back to coding. That was not a good time to be brainstorming for hours about naming. We had to freaking build a system.

Edward: We did meet with PG about the names once in a while. That was one of the things that PG was really good at is helping you come up with names. Then I remember we said, "Oh, we found this domain, ZenPayroll, for seven bucks on GoDaddy." Then PG was like, "I like it."

Jessica: I was going to ask him if he rendered an opinion on that, was it PG approved?

Edward: He was bullish on it. Yeah, he liked it. It was PG approved.

Josh: But there were two flags with it. One was it was constraining, kind of like Salesforce, where even our seed fundraising, we were like, "Hey, there's these other products we can do. We want to make this system easier, simpler, not just payroll." But if your name includes payroll, it's great when that's all you do, but then it becomes limiting when you do more. There were also a lot of Zens at the time. There was Zendesk and then there was ZenPayroll. So we were excited to find a new name, but we didn't want to announce it just when it was about us. So we actually waited until 2015. We had it earlier when we launched Health Benefits. So the ability to set up benefits and enroll and have it all be in one place.

So that day when we launched Gusto as our name, we had about, I think 150 employees at Gusto. We actually called every single one of our customers. We had about 10,000 customers at that point. We called over three days, every single customer, the whole company, just to let them know first, "This is the same company." Because we don't want anyone to be freaked out. It's not like it's a different business. So we wanted to say thank you, we're the same company, here's our new name, and we also have now this additional product. But it was a really fun, fun moment.

Carolynn: How much did the domain cost?

Josh: More than $7.

Carolynn: I was just going to say, you don't have to say though. I just had a feeling it was more than $7.

Josh: I feel like it was in the several thousand, maybe a couple tens of thousands. It wasn't crazy at that point.

Carolynn: So this is 2015 when you did the rebrand. I'm curious, when did you raise your next round and how big was it?

Josh: So we did our seed round in 2012. We did our series A in 2013. That was a $20 million investment at $133 million post.

Carolynn: So about a year later?

Jessica: Whoa.

Josh: About a year later. Because some of it was just off into the races. I mentioned that first month, 100 customers. In that first year we added 1,000. Then in one month we added 500 more.

Jessica: Wow.

Josh: Then the next year we went from, let's see, we went up to 6,000 and then added, in one month, 3000 more. So we were seeing really strong product market fit, really high NPS, really high word of mouth, really high retention.

Carolynn: So you guys needed money to hire probably I'm guessing.

Josh: Yeah, for team building and product development. Yeah, a lot of building, a lot of engineering work to do.

Carolynn: Yeah.

Tomer: By the way, just like the founder journey, I want to say Josh, I wonder what's your memory of this? I still remember even through this kind of early science that in retrospect, you look at, oh yeah, obviously they had product market fit. I remember doubting myself and doubting all the time, "We're not growing fast enough. We're not doing the 15% week over week." Or whatever the benchmark was for early stage companies. "We need to go faster." Product market fit, I think, at least for me, really came in retrospect as opposed to in the moment. Because in the moment you're just seeing the potential, why do you not get more of that potential today or tomorrow? The product is already great, why don't we have 100,000 customers today? So I felt very impatient and also just self-conscious like, "Hey, maybe something's wrong." So that is just the psychology of the founder. I think talking with other founders, this is not uncommon.

Carolynn: You know what I just realized we never asked you guys is what do the three of you do individually at the company?

Josh: It's changed a lot. I've been CEO the whole time, but the role of CEO changes every year, every three years. But yeah, I would say from an operational lens, early on I focused on everything go- to-market. So kind of building out the way we were going to go acquire, building out our sales team, marketing team. Then also all of the business operations type stuff, foundation, back office, how we approach doing all hands, how we approach onboarding and hiring, how we approach choosing new offices. Then Tomer and Eddie really focused most of their time on engineering and product, so at Gusto we call that EPD engineering product design. So that was early on the kind of divide and accomplish approach. It's obviously evolved since then, but all three of us are 100% involved, committed, very actively engaged. I'm CEO, Tomer and Eddie have really important portfolios inside the company. That's something we're actually all really grateful for. 13 years in, it feels like we're still early in the journey and just as committed as we were at the beginning.

Jessica: Well, I'm glad this all came up because that's one of the things I'm excited to talk about a little bit, because as you know, and certainly as Carolynn and I know a lot of co-founders don't make it this far if there are three of them. One of them drops off or doesn't work out. So I would just love to get your guys' opinions on what made this relationship so healthy and robust. Was it your individual personalities? Were there things that you did that other people could copy? Was it always this way or not?

Edward: I think ego, I think, has a lot to do with the reason why co-founders break up. Over time I think you learn ... I think we started out with relatively low egos, but then also as you kind of grow up as leaders, you learn to put your ego aside and really kind of make it much more about the company than your individual selves. Then just open, transparent conversations. I remember one of the first things that we did when we started working together and we were like, "We're going to start building ZenPayroll." Actually, we sat around on chairs in a room together facing each other and we said, "Okay, what is going to be our respective roles in this company?"

At this time we had nothing. We didn't even start working yet. We just were very explicit about it. I was closer to the technology, and so I was the chief technology officer, Tomer was the chief product officer, Josh CEO. That was not a comfortable conversation, especially that early on because there's always a little bit of element of who's the CEO? Sometimes co-founders don't talk about it until later. It's a great example of just ‘be early, be explicit, be clear about things.’ Even though it's uncomfortable at the time, it helps out with just clarity in the future. I think we were always really good at having those kinds of conversations.

Jessica: That's definitely important.

Tomer: I think this idea of just feedback and being transparent to one another is really important since the early, early days. So since really the beginning, we did this thing once a week for every one of our pairings, we're three people so one, two, three, three pairing. We'd go on a walk, so a one hour walk and there was a format for that walk. It's like, "What is one thing that you want to say thank you to the other person?” Like, 'I'm grateful for you that you've done XYZ this week. It is really awesome. I'm very grateful for that.' What is one thing that you want to say sorry for, 'Hey, I think I kind of screwed up in this one place and I want to say sorry for that.'" Then the other thing is what I think you can do better. "Here's feedback for you. I think you can do better at your job."

I learned that actually in the military in Israel, that was one of the formats for just a feedback session between two people in the same team. So it worked really well for us in the early days. Obviously, as more and more people joined the company, we evolved that. But the idea is just to have very transparent, open conversation. Don't let things fester. Everything is above surface. Just say it. It's okay. We're all this together. We want exactly the same thing. We all want the company to be successful in this together. I think over time, that builds a lot of trust. Then trust is this incredible foundation. If you have a lot of trust with one another, there's just nothing you can't do.

Jessica: That's so mature and enlightened. I'm trying to think, Carolynn, would you want to have to talk every week about what you could have done better?

Carolynn: I think it would take a long time to get used to it. I think once you started doing it would actually probably be kind of awesome. You'd start to look forward to it, I bet.

Josh: Yeah. I think the lucky thing here is the alignment of underlying values. I don't think these things would all work with anyone, but growth mindset, a bit of an overused term, but the three of us are just deeply in that camp of yearning for feedback and a desire to constantly improve. So this then wasn't hard because that's just something that the three of us had very deeply in our being. Then other values at Gusto which we codified and became part of our hiring practices, started with the three of us having them and not trying to persuade each other to have them, but just truly having them, like the humility aspect, the service mindset, being competitive and kind, being really ambitious, but also humble. These are not things that we had to search out or prove. They were just kind of coincidental things that drew us together/we felt alignment around.

Jessica: But you talked about them early on and sort of said, "We explicitly want to be competitive, but kind within our company."

Josh: We talked about it in the context of hiring our first employee because that was the forcing function. It was like, "Hey, we're working together in a way we like, we're learning, we're challenging each other, we're having open direct dialogue. It's fun. Doesn't feel like a job, but now we're going to hire people. So how do we keep this? If we're going to try to keep it, what is this? What is the thing that we're trying to keep?" Then we have to codify and put words against it. Then it becomes a part of how you screen candidates. Do they also share this approach and mindset or not? So we created this mental model for you to have a skillset as a piece of how you hire, but this values and motivation alignment we found was just so important to our day-to-day that we were going to fight to keep it. Unfortunately, if you realize that early on, you can just have that be a part of your interview screening process so that people coming in align with it as well.

Carolynn: Yeah, I was going to say, I bet it's great to be able to screen for people who share that philosophy, but it's really hard to find those things out about people in an interview. So I'm guessing you guys actually model it and people learn from your modeling versus you just get so lucky that you hire people with that philosophy. I'm sure you're very, very good at interviewing, by the way. But I'm just saying I don't think you learn that much in an interview with people. I think they have to follow your role model, is my guess.

Josh: All the above, how we do onboarding, how we do rewards, what we incentivize and don't. Then role modeling, I think for any leadership in any company, if you don't practice what you preach, then it's just being a hypocrite.

Tomer: I think in interviews focusing not on hypothetical, but things that actually happened in their lives and then how do they talk about, what's their internal narratives? You made a career change. Why? If the person is like, "Oh, I kind of stopped being interested because this business wasn't going anywhere, so I just jumped to do something else." You're like, okay, that's kind of really, really focused on yourself. Is there anything else? You're looking for folks who, for example, talk about learning. They want to keep growing in their career. They want to keep learning new things, new skillset. You want to talk about people who think about, again, the service mindset is like they're there to help somebody else. It could be I'm there to help my workers, I'm there to help the customer. It's kind of the focusing on the other person as the purpose as opposed to focusing on myself as the purpose. I think they end up not just being a good culture fit, but I actually think these folks end up just being more successful because they're focusing on something else and not on themselves too much.

Jessica: You have how many employees now?

Josh: We have about 2,600.

Jessica: You've been able to scale this to 2,600 employees.

Josh: I'd say it's probably the thing we're most proud of. But I think it drives better business outcomes. It drives why our product stands out. We don't take it for granted. We have to keep making sure that we do that as we grow and scale just, but definitely proud that this has mattered to us from day one.

Carolynn: Do you guys have other examples of unique Gusto culture?

Josh: So culture, we break down into values and traditions. So values we've been talking a bit about, and I'll make one other kind of point that if someone doesn't align with our values, they're not a bad person. It just means they'll be more successful in a different company. The sooner we find that out, either through hiring or shortly after they join, the better. But yeah, traditions to me form naturally and organically, can happen across the company. Sometimes it's company wide, sometimes it's just in a small team. But we have a bunch of traditions at Gusto for sure. Some have changed over time.

One of the early ones was, because we were all raised by our families to take our shoes off. We were in that house in Palo Alto, we took our shoes off, we hired our first teammate. He also took his shoes off at home. We moved to San Francisco, we had like five to 10 Gusties at that point. We were in a loft, took our shoes off. So up until the pandemic, like 1,500 person company, we were shoes off in the office. People would walk around in slippers and socks-

Carolynn: Did you have cubbies-

Josh: We pass out-

Carolynn: I was going to say where'd all the shoes go?

Edward: We had huge cubbies.

Josh: All of our offices have cubbies at the entrance.

Tomer: Yes, you would walk in the office, the first thing you see is, it's still today. If you walk in a Gusto office today, you come and you see all these cubbies for people to put their shoes on. You see a bunch of socks, you see some slippers. Back then it was again we had 1500 people, until COVID. Everyone would take their shoes off, put some slippers and socks on and walk around the office. And as Josh said, it's like a tradition that kind of happened on itself organically, and it came from just our home growing up. But over time around this tradition, there's different messages that get wrapped and connected to them that's connected to the company. So the thing that people felt around this, and we felt and I felt as well, is when you take your shoes off, it feels like you are yourself, you're at home, you're putting your slippers on. You're the same person you are at home as you are at work. The idea is to kind of be that authentic self. When you are fully yourself, you can do basic things. You take down the barriers.

Jessica: Well, this makes me wonder, so you have these wonderful office traditions, then COVID hits and everyone goes remote. What happened to Gusto during that time and where does it stand now with all these things?

Josh: So some great things and some hard things would be my teaser here, just to put a few on the table and then Tomer and Eddie will add more. The great thing was we had hired people that obsess over helping small business, want to help entrepreneurs succeed. So once we made sure everyone was safe themselves on the team, there was this incredible rally and momentum on how can we help our customers? We can get to it in a sec, but there's actually a ton of ways we could help them, given the nature of our product and what we're doing and how we connect to the government and how we can enable things like PPP applications.

But that was amazing, the energy and the excitement. It wasn't me asking folks to care, people cared to their very core. The challenging part was a huge part of our culture had been about this in-person kind of apprenticeship culture environment. Over months and then years, everyone being much more decentralized meant a lot of that became much weaker. So we've had to create different playbooks for how to get to a similar outcome today because we're not 100% in the office.

Jessica: What percentage of employees are in the office?

Josh: About 50%-ish are in office. But then we have others that are either remote or we have hubs that don't have offices, but people concentrated in a city where they can see each other, but there's no Gusto physical space to go use.

Edward: Yeah, but that time was ... We had just finished our annual planning around the time that COVID had hit. So we had set out what we were going to work on for the next 12 months, and then we just threw all of that away when COVID hit and we pivoted to a business whose job is to help small businesses survive essentially. We just turned into a small business survival entity. So anything and everything that we could do to give small businesses a little bit more runway, prevent them from shutting down, that's what we did.

Jessica: So give me some examples. Like you said, filling out the PPP paperwork?

Edward: Yeah, PPP loans were a big part of it. So we were all of a sudden working with all the banks to try to streamline the granting of these loans for small businesses. I don't know if you remember at the time, but there was a lot of controversy around it because banks would only process PPP loans for larger businesses because they got 1% of the loan that they originated from the government. So they were bottlenecked based on how many loans they could process, so they naturally just process the ones with the higher amounts from bigger companies. So a lot of the small businesses were having a hard time getting those loans. So we were just working behind the scenes with banks, finding banks that would integrate with them to make the process more streamlined so that they can approve them faster. That has nothing to do with payroll or benefits or HR, it's what we could do to help.

It was really cool to see everyone just think of ways they could help small businesses and then just go do it. The team barriers faded away. People were working like crazy hours because it was a race against time. The sense of mission in the company was just at a level that we had never seen. We were always a mission-driven company because we felt like we were doing something that helps small businesses, but this is a time where it was literally survival for businesses. It was difficult, but I'm glad that it happened because it really put a lot of meaning into what we do.

Tomer: Yeah, I remember the front page of Washington Post and Wall Street Journal were, "The end of small business, it's the death of small businesses. What's going to happen next?" Yeah, we helped define actually that report, the report that ended up being used by these banks, we helped define it to just be easier to build. That's the thing that's ended up being used out there. We helped create and find lenders. There were a bunch of credits, tax credits that the government created. Every state also had their own implementation of it so quickly trying to understand how to do this and how to make it easily accessible for customers. So these are all the things that we really pivoted the company to focus on while keeping our overall mission.

Josh: There's a connection here to also, the heart of what Gusto is, if you want to get a little bit into strategy. But you have lots of complexity from government: local, state, federal, 15,000 different tax rules and whether it's during the pandemic, before the pandemic, after the pandemic, there's only been more rules being created. So Gusto ahead, and this is the connection to payroll, payroll does a bunch of those rules and requirements. We do hundreds of millions of forms and filings for our customers. We've moved over half a trillion dollars of money for our customers to tax agencies or to people's bank accounts. So becoming really good at how to take the complexity of government and as an outcome not having the business owner or the employee need to navigate, it turns out it's quite relevant to this type of problem space. But that's what we had been doing because payroll is all about that type of thing.

Carolynn: When the Silicon Valley bank crisis hit March of 2023, you guys also jumped in and did something amazing. Am I remembering that right? Can you guys talk about that?

Jessica: What'd you do?

Edward: I lost a year of my life that week because I didn't sleep at all.

Jessica: 100% same.

Edward: But I think we had almost 10,000 companies that were banking with Silicon Valley Bank, so they weren't sure if they would be able to make payroll. We weren't sure if we did their payroll that we would actually get paid by the company. Because the way it works is we'll oftentimes send the money to the employees before we actually receive it from the business. The money's in transit from the SEB account to our account, but then while it's in transit we actually send it out to their employees. There's a little bit of credit risk that we take on when we do payroll and obviously this credit risk is much, much higher when the bank is gone and the federal government hasn't said if they're going to honor the balances there. So we ultimately made a call to put a lot of our capital at risk so that the employees of our customers could get paid and thankfully the debits were honored.

Jessica: Eddie, that's a lot of freaking capital.

Carolynn: Oh yeah. Do your customers, do you think they realize what you guys did for them? Or is it just like it's ... I'm sure some of them knew what the risk you were taking and thanked you profusely, but do you think most of them even understand how big that was for you guys to do?

Edward: I think most did. I think they did after the fact, but in the moment they were just worried about losing all of their money basically. Right?

Carolynn: Yeah.

Edward: They had much bigger things to worry about at the time.

Carolynn: You guys know also how close we all came to that not resolving happily, right? You guys know that?

Edward: Yes.

Carolynn: Okay. I was just curious how much you knew behind the scenes. Yeah.

Josh: I'd say one thing I'm proud of is our whole message to our customers is, "We are your partner." I want them to have thought that we were going to of course take care of it. Not to undervalue what we did, but that's kind of part of our whole mission. Running a business is really hard, you're wearing 20 hats, you're doing all these things. Big companies, you have specialists, you can hire all the different kinds of back office people you need. But a smaller company, you're doing it all yourself as a business owner. So it was not a debate because for us to be there to make these things simple or easier is the right thing to do, is good for our business model, drives word of mouth, drives NPS, drives how we get more customers in the door. I mean, we're over 300,000 customers on Gusto today and eager to get to 400,000-500,000 in the coming years. That's all driven by companies knowing we have their back and we're there for them. So it feels very consistent, I guess is my point.

Jessica: But having their back, like you guys aren't a bank. So as impressive as this is, I'm so blown away, there's no way any of those customers could have expected you to make their payroll on their behalf. Honestly, come on.

Josh: We were making a bet that the money was going to be available from SVB because it seemed crazy to us that everyone would lose their entire deposit base.

Carolynn: Yeah, it was a crazy weekend for sure.

Jessica: It was. Someday we'll do a podcast just on that, Carolynn.

Carolynn: I think we should actually.

Josh: We were lucky, we had a lot of our corporate cash in other banks. This is the benefit of being pretty diversified. It might've been the 10,000 that Eddie mentioned, but we still had several hundred thousand companies at that point. So I think it helped a little bit that we serve companies across the country in all states, all counties, all verticals, all industries.

Carolynn: Yeah, it would've been mostly your California customers that got impacted, I would imagine. Not across the country.

Josh: Well, Silicon Valley. Yeah.

Carolynn: Yeah.

Tomer: There's a lot of things that happen behind the scenes in these types of companies that handle a lot of the compliance stuff like payroll that you really don't see until you hit something as crazy as what happened with SVB. So in this situation, we have multiple payment processors. So even if one of our payment processors were down for some random once every decade reason, our customers would still be okay and we would still be okay. So here was really focused on companies who banked with SVB and trying to say, what can we go above and beyond and go to help them as opposed to like, "Oh my gosh, we can't process payroll because we were overly reliant on one provider or not." I think it's the same thing with other types of compliance stuff, whether it's benefits and whether it's HR and other sort of payments. There's a lot of things behind the scenes that you got to do to be ready for these sorts of moments. Because if you're trying to build a company for 30 years, 50 years, 70 years, those things for sure are going to happen by definition. Once-a-decade-event is going to happen every decade.

Carolynn: The Black Swan is definitely going to come for you. This is a little bit of a weird legal tangent, but Tomer as you're speaking, I'm sitting here thinking you guys have so much PII, right? You must worry a lot about security and privacy stuff.

Edward: Yeah, I mean there's a lot of sensitive information and then there's a lot of people who want that information, so we need to be really good stewards of protecting that. Then we have this whole benefits business, which also needs to be HIPAA compliant, so there's a lot of regulation around PHI that we have to be good stewards of as well.

Josh: I mean the backdrop is just being paranoid all the time, but also being able to bring in amazing teammates that have incredible experience doing exactly this type of work. We've had that mindset from day one. So knock on wood.

Jessica: I know we're running out of time and I do want to be asking you about your mom's and some work-life balance stuff. Paul told me something, and this is from you Eddie. He said that he talked to you at the retreat about how there was some timeframe recently when you had two different people within Gusto review your in-house communications.

Edward: Yeah. I didn't have two different people, but I had a dedicated comms person for EPD, which is the teams that I was running at the time. At first I thought it was awesome because I would spend a lot of time putting together decks and writing emails, and now I had someone that did it for me. But then it quickly turned into this thing that I really didn't like because anytime I wanted to say something, it would have to go through a review from the comms person and it just really slowed things down quite a bit. I could never actually use my own authentic, genuine voice. So ultimately I decided that this is not something that I wanted. I think a lot of leaders at Gusto also didn't want their own dedicated comms person. There's a need obviously for broad comms, external comms and NPR, but-

Jessica: We're talking internal-

Edward: It's more internal, yeah.

Jessica: That's what I'm stuck on.

Josh: That team got to three people, but this is the connection to a lot of the topics today, Jess. There is a balance of bringing in great talent externally that brings ideas to the table, but also us being stewards of what is Gusto, what does Gusto stand for, and how are we going to build this company? That's something that I'm really grateful for that Tomer, Eddie and I continue to have this multi-decade mindset. We won't be perfect, but really making sure that we're not ever doing something just because others do it. What is the right way to do it inside this organization? In that case, it was someone with good intent from a really great big tech company that wasn't the right fit for Gusto. We made a pretty fast change to that process. But there's examples all the time in company building, especially at a later stage where a founder and a leadership team has to decide what is authentic and right for this business or am I just doing something because others are doing it? That's a big pitfall.

Carolynn: Did you guys take a walk and then someone's like, "Yeah, the comms thing is not working?"

Edward: Something like that.

Josh: It could be a walk, it could be face-to-face.

Jessica: Eddie, I was talking to Paul and I was like, "Eddie's the nicest guy in the world. What internal email is he writing that gets changed so much because what he said was not correct?" You know what I mean? We were just marveling at that.

Josh: He actually writes great comms-

Carolynn: I bet he does-

Josh: Eddie could be a comms person.

Jessica: I know, what changed? Was it just the way you said things?

Edward: It's just that you want to minimize downside risk, right? So you want to minimize something from blowing up.

Carolynn: I know exactly what got changed-

Edward: But then what you lose there is you lose the thing that's on your mind being opinionated about something. If you really believe in something, oftentimes there'll be someone that doesn't believe in that same thing, and if you're just optimizing for minimizing downside, then you just dilute it basically.

Carolynn: Yeah, it's a skill set. Lawyers have it. You make something more vacuous. It's like a whole skill.

Jessica: Carolynn knows.

Carolynn: I know from experience.

Josh: One of our values is we are all builders, and that's kind of how we channel this concept of knowing what altitude to dive into, when to problem solve, how to connect to the customer, how not to let some of the BS bureaucracy stuff get in the way. That's a value that I think a lot of Gusties connect to.

Jessica: Yeah. Can I ask before we go, we got to hear about the moms. Carolynn and I both need to know about your moms. They're on a trip together, you mentioned before we got started?

Josh: I mean this is where, when you come together as a founder group you hope that if you're aligned on mission and vision and values, the potential is there to spend decades building, but you got to go do the work. We never had any expectation of our parents connecting with each other because we live far away from each other. Eddie's parents are in LA, my parents are in the Bay Area, Tomer's parents are in Israel. But it was actually through our weddings. We've all, in the last 13 years, various people, got married. So they connected there and then they actually just started having their own idea, especially the three moms, to start doing trips together. In retrospect, it's not a huge surprise that they would connect because they've raised the three of us and we connect and values start with family. So it seems obvious that our parents probably have similar values. But the three moms have done a trip to Tenerife and in Europe together. Right now they're on a trip to Carmel in California.

Carolynn: So this is like trip number, like five, six?

Josh: Many trips. They have a WhatsApp group called Three Mothers, that doesn't include us.

Jessica: Oh my god Carolynn, this is the YC founder mom meet-cute.

Carolynn: Good job, you used that correctly. Good job. Good job.

Edward: The what? The meet, what?

Carolynn: A meet-cute. Guys, please tell me you've heard of the expression of meet-cute.

Jessica: I just learned it from Carolynn.

Carolynn: A meet cute is like when you and your significant other meet in a cute way. I mean, that's just literally what it is. I used it, I don't know, a year ago and Jessica, I was like, "What is that?"

Jessica: I couldn't stop laughing. I couldn't control myself. Poor little Clerico was like, "Okay, can we get on with the podcast please?" Because I was just on the floor.

Josh: We have photos, they went to visit Universal Studios in LA together last year.

Edward: My mom will sometimes fly up from LA and she would just go visit Josh's mom and stayed at Josh's place-

Carolynn: And not you?

Edward: Yeah, yeah. She's like, "I'm going to stay over at Josh's place and hang out with Josh's mom. If you want to come see me, you can come up to Marin and say hi." I'm like, "All right, I have an extra bedroom too."

Jessica: That's cold.

Carolynn: Oh, that makes me so happy. This conversation has just been so much fun for me and to have all three of you together. I feel like we're just in a room just chatting and catching up. I love it. Thank you.

Edward: Thanks for having us. Yeah, it's amazing.

Carolynn: It's been so much fun.

Jessica: Well, you know what, before we let them go we should just hear what is next for Gusto? What is going to be the next 10 years for Gusto?

Josh: Where we're going hopefully won't surprise folks. There is an incredible opportunity ahead to enable entrepreneurship, Gusto is becoming more every day at the entrepreneurship platform. So making it easy for you to start a company, making it easy for you to navigate all of the complexity of building a business. We've already expanded quite a bit, so payroll benefits, time tracking, tax credits, international hiring and more. But there are actually a lot more pain points there in terms of making it easier for folks to A, get started and B, survive. Even today, only about half of new companies make it to year five. So you're going to see us launch a lot of new products, keep serving more and more customers, get into millions of customers in the coming several years. But the values aren't going to change, and we're only one decade in, many decades to go.

Jessica: I love it. Keep serving those Y Combinators startups too, help them survive past year five.

Josh: YC startups-

Jessica: I'd appreciate it. Yes-

Josh: Are also near and dear to our heart.

Edward: We're right across the street now, so we meet a lot of them.

Jessica: I know-

Carolynn: I know-

Jessica: That's really fun, I love that. I'm going to pop over and visit you guys next time I'm an American at the YC office. I'm going to come get a tour of the Gusto digs. I'll take off my shoes.

Carolynn: Yes.

Josh: Please do, we'll give you socks.

Jessica: Thank you guys so much for being on the show today. This has been so much fun.

Edward: Thanks for having us. It was so much fun.

Carolynn: Thank you. Great to talk to you guys.

Jessica: That was so much fun talking to all three of them.

Carolynn: It was great. I actually was a little worried about three at a time but everyone got to talk and it wasn't too much interrupting and it was really ... 13 years, it's really impressive.

Jessica: It is so impressive, and that's why I'm glad we got into a little bit about what they do to keep their co-founder relationships healthy because, do you agree that it's not rare, but it's not the norm, certainly.

Carolynn: Oh no, I kept thinking, because we talked a little about founder mode and that's on the brain, but I was just thinking when you have three people like that who are staying and who are committed and who are setting the tone and setting the culture ... To me they kind of have always been in founder mode. They just never left.

Jessica: By the way, making it their life's work. All three of those guys, it's their life's work.

Carolynn: One of the things that also occurred to me is they're clearly very committed to do this for a long time, but I also wonder if any of them have other startup ideas. Because we ask this a lot at the end of other interviews. But it seems, I'm guessing not because they're just so focused on what Gusto can do next that they're probably just not even thinking about other ideas.

Jessica: They probably funnel all their idea juices toward what can happen within Gusto.

Carolynn: Exactly.

Jessica: One of my favorite parts of the conversation was when we were talking about when COVID hit and Eddie said, "We just changed what we were doing to be, how can we help small businesses survive? That was our entity." And they did all these things that were not in their plan just to help their clients survive. How amazing was that?

Carolynn: No, that's a really, really, really cool philosophy to have as a business is that what you're doing is you're just helping all your customers, even when it's not necessarily to your benefit to do it economically anyway.

Jessica: In case it didn't come through clearly in the episode, their customers love them.

Carolynn: Yes, yes, that is true. That is true. They just have very happy customers and high standards and all of that.

Jessica: And high standards, and they're leading the charge. That was a really fun conversation. Yet again, it was one of those conversations where, how interesting is payroll to talk about? But actually it was really interesting.

Carolynn: Yeah. No, no, no. I think it is. I think it's because it's super relatable, like they were saying. They said so many times, "Everybody has this problem." Even if you're not running a business, you are probably an employee and you probably like to get paid, so it's like it resonates with everybody.

Jessica: It's fundamental.

Carolynn: It's fundamental.

Jessica: All right, well that's going to be a great one. Can't wait to see you for the next one.

Carolynn: All right, see you next time.

Jessica: Okay, bye Carolynn.

Carolynn: Bye.